

Japan Exchange Group, Inc. and Consolidated Subsidiaries
Consolidated financial results for nine months ended December 31, 2014
(Japanese standards), unaudited

Company name: Japan Exchange Group, Inc.
 Code number: 8697 URL: <http://www.jpx.co.jp/en/index.html>
 Stock Exchange Listings: Tokyo
 Representative: Atsushi Saito, Director & Representative Executive Officer, Group CEO
 Contact: Akira Tagaya, Director, Corporate Communications
 Scheduled date of filing of quarterly report: February 12, 2015
 Scheduled date of start of dividend payment: —
 Preparation of 3Q earnings presentation material: Yes
 Holding of 3Q earnings announcement: None

1. Consolidated Financial Results for nine months ended December 31, 2014
(April 1, 2014 to December 31, 2014)

(Figures less than a million yen are omitted)

(1) Operating results

(Percentages represent year-on-year change)

	Operating revenue		Operating income		Ordinary income		Net income	
	million yen	%	million yen	%	million yen	%	million yen	%
Nine months ended December 31, 2014	78,849	(11.5)	36,377	(9.3)	38,580	(8.3)	24,164	(1.0)
Nine months ended December 31, 2013	89,102	—	40,127	—	42,082	—	24,396	—

(Note)

Comprehensive income:

Nine months ended December 31, 2014: ¥29,291 million / 18.6 %

Nine months ended December 31, 2013: ¥24,706 million / —%

	Net income per share	Diluted net income per share
	yen	yen
Nine months ended December 31, 2014	88.02	—
Nine months ended December 31, 2013	88.87	—

* Due to a 5-for-1 stock split which was conducted with an effective date of October 1, 2013, the net income per share for nine months ended December 31, 2013 is calculated as if such stock split was implemented at the beginning of the consolidated accounting year.

(2) Financial position

	Total assets	Total net assets	Equity capital ratio
	million yen	million yen	%
As of December 31, 2014	2,120,227	219,953	10.1
As of March 31, 2014	1,403,713	202,018	14.0

(Reference)

Shareholders' equity:

As of December 31, 2014: ¥214,013 million As of March 31, 2014: ¥196,342 million

***Note to financial position**

Clearing deposit money, etc. based on various rules which secure the safety of securities trading, etc. are recorded as the JPX group's assets and liabilities. Clearing deposit money, etc. are large in amount and fluctuate daily and, as a result, the above amounts are significantly impacted by such fluctuations. For the consolidated financial position of the JPX group excluding clearing deposit money, etc., please refer to page 6 "1. QUALITATIVE INFORMATION ON FINANCIAL RESULTS DURING THE CURRENT QUARTER, (2) Explanation on Financial Position" of the Appendix.

2. Dividends

	Dividend per share				
	First quarter	Second quarter	Third quarter	Fiscal year end	Annual
	yen	yen	yen	yen	yen
Year ended March 31, 2014	—	80.00	—	27.00	—
Year ending March 31, 2015	—	18.00	—		
Year ending March 31, 2015 (Forecast)				26.00	44.00

(Note) Change in dividend forecasts from the most recent announcement: None

* A 5-for-1 stock split was conducted with an effective date of October 1, 2013. Dividends for the second quarter of the year ended March 31, 2014 are actual amounts before said stock split.

JPX is scheduled to adopt International Financial Reporting Standards (hereafter "IFRS") to its financial reports from the year-end earnings results for the year ending March 31, 2015. The dividend forecasts for said fiscal period were calculated based on net income of ¥30.0 billion with impact from IFRS adoption, and the corresponding dividend payout ratio is 40.3%. For the earnings forecast calculated with impact from IFRS adoption, please refer to page 6 "1. QUALITATIVE INFORMATION ON FINANCIAL RESULTS DURING THE CURRENT QUARTER, (3) Explanation on Forecast Information such as Consolidated Earnings Forecast, etc., (i) Consolidated Earnings Forecast".

3. Consolidated Earnings Forecast for the Fiscal Year ending March 31, 2015 (April 1, 2014 to March 31, 2015) (Percentages represent year-on-year change)

	Operating revenue		Operating income		Ordinary income		Net income		Net income per share
	million yen	%	million yen	%	million yen	%	Million yen	%	
For Year ending March 31, 2015	101,000	(13.1)	42,500	(16.9)	44,500	(15.7)	26,500	(11.2)	96.53

(Note)

Change in performance forecasts from the most recent announcement: None

* The above earnings forecast is based on the Japanese standards. JPX is scheduled to adopt IFRS from the year-end earnings results for the year ending March 31, 2015. If the forecast were to be calculated with impact from IFRS adoption, each income figure is expected to increase by ¥3.5 billion, resulting in net income of ¥30.0 billion. For the earnings forecast calculated with impact from IFRS adoption, please refer to page 6 "1. QUALITATIVE INFORMATION ON FINANCIAL RESULTS DURING THE CURRENT QUARTER, (3) Explanation on Forecast Information such as Consolidated Earnings Forecast, etc., (i) Consolidated Earnings Forecast".

* Notes

(1) Changes in significant subsidiaries during the period (Changes in specified subsidiaries that caused changes in the scope of consolidation): None

(2) Adoption of peculiar accounting methods for quarterly consolidated financial statements: None

(3) Changes in accounting policies / changes in accounting estimates / restatements

1) Changes pursuant to revision of accounting policies: Yes

2) Changes other than the above: None

3) Changes in accounting estimates: Yes

4) Restatements: None

(4) Number of issued shares (common stock)

1) Number of issued shares at the end of the period (including treasury shares):

As of December 31, 2014: 274,534,550 shares

As of March 31, 2014: 274,534,550 shares

2) Number of treasury shares at the end of period:

As of December 31, 2014: 2,655 shares

As of March 31, 2014: 2,655 shares

3) Average number of shares:

Nine months ended December 31, 2014: 274,531,895 shares

Nine months ended December 31, 2013: 274,533,481 shares

(Note) Due to a 5-for-1 stock split which was conducted with an effective date of October 1, 2013, the number of shares for nine months ended December 31, 2013 is calculated as if such stock split was implemented at the beginning of the consolidated accounting year.

*Disclosure regarding the execution of the quarterly review process

This release is outside the scope of the external auditor's quarterly review procedure which is required by the "Financial Instruments and Exchange Act". Therefore, the quarterly review process has not been completed as of this disclosure in this release.

*Explanation of appropriate use of forecast and other special items

This material contains earnings forecast and other forward-looking statements which are based on available information and certain assumptions that are considered reasonable at the time of preparation. Various factors may cause actual results, etc. to be materially different from those expressed in these forward-looking statements.

DISCLAIMER: This translation may be used for reference purposes only. This English version is not an official translation of the original Japanese document. In cases where any differences occur between the English version and the original Japanese version, the Japanese version shall prevail. This translation is subject to change without notice. Japan Exchange Group, Inc., and/or its affiliates shall individually or jointly accept no responsibility or liability for damage or loss caused by any error, inaccuracy, misunderstanding, or changes with regard to this translation.

(Appendix)

Contents of Appendix

1. QUALITATIVE INFORMATION ON FINANCIAL RESULTS DURING THE CURRENT QUARTER ...2	
(1) Explanation on Operating Results ...2	
(2) Explanation on Financial Position ...6	
(3) Explanation on Forecast Information such as Consolidated Earnings Forecast, etc. ...6	
2. OTHER INFORMATION ...8	
(1) Changes in accounting policies / Changes in accounting estimates / Restatements ...8	
3. CONSOLIDATED FINANCIAL STATEMENTS ...9	
(1) Consolidated Balance Sheets ...9	
(2) Consolidated Statements of Income and Consolidated Statements of Comprehensive Income ...11	
(3) Notes on Consolidated Financial Statements ...13	
(Note on Going-Concern Assumption) ...13	
(Material changes in shareholders' equity) ...13	

1. QUALITATIVE INFORMATION ON FINANCIAL RESULTS DURING THE CURRENT QUARTER

(1) Explanation on Operating Results

The consolidated results of JPX during the consolidated cumulative third quarter (from April 1, 2014 to December 31, 2014) were operating revenue of ¥ 78,849million (11.5% decrease from the same period of last year (i.e. year-on-year)), operating expenses of ¥42,472 million (13.3% decrease), operating income of ¥36,377 million (9.3% decrease) and ordinary income of ¥38,580 million (8.3% decrease) due to a decrease in trading of cash and derivatives compared with the same period of last year, etc..

In addition, due mainly to not recording impairment loss, which was recorded as extraordinary loss in connection with the consolidation of system bases in the previous consolidated cumulative third quarter, in this consolidated cumulative third quarter, income before income taxes and minority interests was ¥38,627 million (6.1% decrease) and net income was ¥24,164 million (1.0% decrease) with both recording smaller declines than operating income and ordinary income.

<Reference>

	Nine months ended December 31, 2013		Nine months ended December 31, 2014	
		As of December 31, 2013		As of December 31, 2014
TOPIX	991.34points ~1,302.29points	1,302.29points	1,132.76points ~1,447.58points	1,407.51points
Nikkei 225	¥12,003.43 ~¥16,291.31	¥16,291.31	¥13,910.16 ~¥17,935.64	¥17,450.77
Market capitalization*	¥350,135.2billion ~¥467,618.1billion	¥467,618.1billion	¥410,319.3billion ~¥528,336.4billion	¥515,452.4billion

* Market capitalization of the TSE 1st Section, 2nd Section, and Mothers.

(Operating revenue)

1) Trading participant fees

Trading participant fees comprise "Basic Fees" based on the types of the trading participant's trading qualification, "Transaction Fees" based on the value of securities traded or volume of derivatives traded, "Access Fees" based on the number of orders, and "Trading System Facilities Usage Fees" based on the types of trading system facilities used.

During the consolidated cumulative third quarter, trading participant fees decreased 12.8% year-on-year to ¥36,134 million due to a decrease in trading of cash and derivatives.

Breakdown of trading participant fees

			(millions of yen)	
			Nine months ended December 31, 2014	Change (%)
	Nine months ended December 31, 2013			
Trading participant fees	41,448	36,134	(12.8)	
Transaction fees	34,796	29,868	(14.2)	
Cash equities	24,580	21,203	(13.7)	
Derivatives	10,216	8,665	(15.2)	
TOPIX futures	1,486	1,347	(9.4)	
Nikkei 225 futures*	3,630	3,279	(9.7)	
Nikkei 225 options	3,684	2,628	(28.7)	
10-year JGB futures	1,223	1,233	0.8	
Others	190	176	(7.4)	
Basic fees	912	802	(12.1)	
Access fees	3,782	3,510	(7.2)	
Trading system facilities Usage fees	1,877	1,894	0.9	
Others	79	57	(27.6)	

*Figures include Nikkei 225 mini futures.

<Reference>

Equities trading value and derivatives trading volume or value (including auction and off-auction trading)

	Daily average			Total		
	Nine months ended December 31, 2013	Nine months ended December 31, 2014	Change (%)	Nine months ended December 31, 2013	Nine months ended December 31, 2014	Change (%)
【Cash equities】 *1						
TSE 1 st Section (¥millions)	2,701,191	2,289,139	(15.3)	505,122,773	425,779,801	(15.7)
TSE 2 nd Section (¥millions)	20,308	33,553	65.2	3,797,509	6,240,921	64.3
Mothers (¥millions)	131,004	143,840	9.8	24,497,728	26,754,322	9.2
JASDAQ (¥millions)	115,748	93,739	(19.0)	21,644,931	17,435,364	(19.4)
ETFs, ETNs, etc. (¥millions)*2	109,953	133,008	21.0	20,561,267	24,739,459	20.3
REITs, etc. (¥millions)*3	35,378	33,860	(4.3)	6,615,748	6,297,929	(4.8)
【Derivatives】 *1						
TOPIX futures (contracts)	93,680	82,219	(12.2)	17,518,093	15,292,644	(12.7)
Nikkei 225 futures (contracts)	125,873	101,812	(19.1)	23,538,325	18,937,063	(19.5)
Nikkei 225 mini futures (contracts)	953,411	790,236	(17.1)	178,287,888	146,983,885	(17.6)
Nikkei 225 options (¥millions)	41,893	27,725	(33.8)	7,833,928	5,156,919	(34.2)
10-year JGB futures (contracts)	34,506	35,888	4.0	6,452,625	6,675,259	3.5

*1 Figures include trading values before cash market integration.

*2 Figures include country funds, etc.

*3 Figures include venture funds.

2) Listing fees

Listing fees comprise the "Initial/Additional Listing Fees" that are received based on the issue amount when a company initially lists or when a listed company issues additional shares, and "Annual Listing Fees" received from listed companies based on their market capitalization.

During the consolidated cumulative third quarter, listing fees increased 1.2% year-on-year to ¥9,205 million due to an increase in "Annual listing fees" mainly from an increase in the market capitalization of listed companies.

Breakdown of listing fees

	(millions of yen)		
	Nine months ended December 31, 2013	Nine months ended December 31, 2014	Change (%)
Listing fees	9,098	9,205	1.2
Initial/Additional listing fees	3,874	3,642	(6.0)
Annual listing fees	5,223	5,563	6.5

<Reference>

Number of listed companies, ETFs, ETNs and REITs

(Company)

	New listed companies			Total listed companies		
	Nine months ended December 31, 2013	Nine months ended December 31, 2014	Change	As of December 31, 2013	As of December 31, 2014	Change
TSE 1 st and 2 nd Sections	19	26	7	2,341	2,407	66
Technical listings	9	5	(4)			
Mothers	26	40	14	193	208	15
Technical listings	2	0	(2)			
JASDAQ	11	8	(3)	877	844	(33)
Technical listings	1	0	(1)			
Total	56	74	18	3,411	3,459	48
Technical listings	12	5	(7)			

(Note 1) The number of new listed companies excludes those listed via the TSE or OSE market before cash market integration. The number of total listed companies excludes companies cross-listed on the TSE or OSE market before cash market integration.

(Note 2) The number of new listed companies and total listed companies on the TSE 1st and 2nd Sections include those on the OSE 1st and 2nd Sections before cash market integration.

(Note 3) Technical listings refer to new listings of companies that were established due to mergers and stock transfers, etc.

(Issue)

	New listed issues			Total listed issues		
	Nine months ended December 31, 2013	Nine months ended December 31, 2014	Change	As of December 31, 2013	As of December 31, 2014	Change
ETFs	12	8	(4)	147	163	16
ETNs	8	4	(4)	22	27	5
REITs	4	5	1	43	49	6
Technical listings	0	0	0			

(Note 1) The number includes those of new and existing listed issues on the OSE markets before cash market integration.

(Note 2) Technical listings refer to new listings of issues that were established due to mergers and stock transfers, etc.

Fund raising by listed companies

(millions of yen)

	Nine months ended December 31, 2013	Nine months ended December 31, 2014	Change (%)
Financing by listed companies	2,223,131	2,248,704	1.2

(Note) Total amount of fund-raising via shareholder allotments, public offerings (including initial public offerings), third-party allotments, preferred stocks, and convertible bonds exercise and stock options.

3) Income from information services

Income from information services is comprised of income related to the provision of corporate action information and various other information, primarily consisting of fees for market information provided to information vendors (market information fees), and also income related to the index business.

During the consolidated cumulative third quarter, income from information services increased 0.3% year-on-year to ¥12,000 million.

4) Income from securities settlement

Income from securities settlement is derived from settlement commissions related to the assumption of financial instrument obligations carried out by Japan Securities Clearing Corporation.

During the consolidated cumulative third quarter, income from securities settlement decreased 4.6% year-on-year to ¥14,931 million due to a decrease in trading.

5) Other operating revenue

Other operating revenue consists of "network line usage fees", "Co-location Usage Fees", "Proximity Usage Fees", and fees for system development and operations provided by TOSHO SYSTEM SERVICE CO., LTD. "Network line usage fees" related to use of the networks which connect trading systems, market information systems, etc. to trading participants and users. "Co-location Usage Fees" are those for using the service which allows trading participants to place their devices, etc. within the system center for the purpose of accelerating trade execution, etc. "Proximity Usage Fees" are those for using the proximity service which diversifies connectivity to domestic and foreign markets, and can be used by trading participants and market-related parties, such as information vendors.

During the consolidated cumulative third quarter, other operating revenue decreased 39.9% year-on-year to ¥6,577 million, a significant decline from the previous year in which fees for system development and operations in connection with a large-scale system development project was included.

Breakdown of other operating revenue

	Nine months ended December 31, 2013	(millions of yen)	
		Nine months ended December 31, 2014	Change (%)
Other operating revenue	10,948	6,577	(39.9)
Network line usage fees	2,631	1,947	(26.0)
Co-location Usage Fees, Proximity Usage Fees	1,882	2,126	12.9
Other	6,434	2,503	(61.1)

(Operating expenses)

During the consolidated cumulative third quarter, personnel expenses increased 0.1% year-on-year to ¥11,133 million.

System maintenance & operation costs consist of maintenance and operation costs for trading system and other systems. During the consolidated cumulative third quarter, system maintenance & operation costs decreased 14.1% year-on-year to ¥7,499 million due mainly to integrate derivatives systems in the previous year.

During the consolidated cumulative third quarter, depreciation decreased 11.0% year-on-year to ¥8,835 million, mainly because accelerated depreciation cost for previous systems in connection with the derivatives system integration was included in the previous consolidated cumulative third quarter.

During the consolidated cumulative third quarter, other operating expenses decreased 21.8% year-on-year to ¥15,004 million, a significant decline from the previous year in which costs in connection with a large-scale system development project was included.

(2) Explanation on Financial Position

(Assets, liabilities and equity)

Clearing deposit money, etc. (margin funds for derivatives, etc. and when-issued transactions, deposits for clearing funds, and deposits as collateral for facilitating settlement), legal guarantee funds, deposits received as trading participant security money, and default compensation reserve funds, all of which hedges risks of securities trading based on various rules, are recorded as assets and liabilities. Out of these assets and liabilities, clearing deposit money, etc. are large in amount and fluctuate daily in line with clearing participants' positions and stock price movements, and, as a result, the amounts of JPX group's assets and liabilities are significantly impacted by fluctuations in these clearing funds, etc.

Total assets as of December 31, 2014 increased ¥716,514 million from the end of the previous fiscal year to ¥2,120,227 million as a result of an increase in clearing deposit money, etc. Excluding clearing deposit money, etc., legal guarantee funds, and default compensation reserve funds, assets decreased ¥2,778 million from the end of the previous fiscal year to ¥259,792 million due to factors such as a decrease in cash and deposits mainly in connection with the payment of taxes and repayment of loans.

Total liabilities as of December 31, 2014 increased ¥698,579 million from the end of the previous fiscal year to ¥1,900,274 million as a result of an increase in clearing deposit money, etc. Excluding clearing deposit money, etc., legal guarantee funds, and deposits received as trading participant security money, liabilities decreased ¥23,366 million from the end of the previous fiscal year to ¥60,349 million mainly due to the payment of taxes and repayment of loans.

Total net assets as of December 31, 2014 increased ¥17,934 million from the end of the previous fiscal year to ¥219,953 million due mainly to an increase in retained earnings in connection with recording net income.

In addition, after excluding default compensation reserve funds, total net assets were ¥192,004 million.

<Reference>

	Total assets	Total net assets	Equity capital ratio
	million yen	million yen	%
As of December 31, 2014	2,120,227	219,953	10.1
	*1) 259,792	*2) 192,004	*3) 71.6
As of March 31, 2014	1,403,713	202,018	14.0
	*1) 262,570	*2) 174,070	*3) 64.1

(Notes)

- 1) Figures marked “*1)” under “Total assets” exclude clearing deposit money, etc., legal guarantee funds, and default compensation reserve funds (hereafter collectively “specified assets”).
- 2) Figures marked “*2)” under “Total net assets” exclude default compensation reserve funds.
- 3) Figures marked “*3)” under “Equity capital ratio” are calculated excluding specified assets from total assets, and excluding default compensation reserve funds from total net assets.

(3) Explanation on Forecast Information such as Consolidated Earnings Forecast, etc.

(i) Consolidated Earnings Forecast

There are no revisions to the consolidated earnings forecast from the forecast figures announced in the “Notice of Revision to Earnings Forecast and Dividend Forecast” dated January 20, 2015.

The consolidated earnings forecast is based on the assumptions that the average daily trading values and volumes are ¥2.6 trillion for stocks*, 35,000 contracts for 10-year JGB futures, 79,000 contracts for TOPIX futures, 172,000 contracts for Nikkei 225 futures (including mini contract trading volume converted to large-sized contracts), and ¥27.0 billion for Nikkei 225 options.

(*) The trading value of stocks listed on the TSE 1st and 2nd Sections, Mothers, JASDAQ, TOKYO PRO Market, ETFs, ETNs and REITs (including auction and off-auction trading).

JPX will be adopting IFRS from the year-end earnings results for the year ending March 31, 2015. The consolidated earnings forecast with impact from IFRS adoption presented in “Notice of Revision to Earnings Forecast and Dividend Forecast” dated January 20, 2015 has not been revised.

【Reference】

Consolidated full-year earnings forecast with impact from IFRS adoption for the fiscal year ending March 31, 2015

* Each income figures is expected to increase by ¥3.5 billion from Japanese standards due to ceasing of the amortization of goodwill (¥3.44 billion per year), etc.

	Operating revenue	Operating income	Ordinary income	Net income	Net income per share
	million yen	million yen	million yen	million yen	yen
For Year ending March 31, 2015	101,000	46,000	48,000	30,000	109.28

(ii) Dividends Forecast

There are no revisions to the dividends forecast from "Notice of Revision to Earnings Forecast and Dividend Forecast" dated January 20, 2015.

The dividends payout ratio of Japan Exchange Group, Inc. is targeted at approximately 40% based on our policy of stable and continuous dividends payment, giving due consideration to the importance of internal reserves for system development aimed at enhancing competitiveness and self-regulatory functions as an exchange, and for provision against risks as a clearing organization.

JPX will be adopting IFRS from the year-end earnings results for the year ending March 31, 2015. The dividend forecast for the year ending March 31, 2015 is calculated based on forecasted net income of ¥30.0 billion after IFRS adoption.

2. OTHER INFORMATION

(1) Changes in accounting policies / Changes in accounting estimates / Restatements

(i) Changes in accounting policies

The Accounting Standard for Retirement Benefits (ASBJ Statement No.26, May 17, 2012; hereafter "Accounting Standard for Retirement Benefits") and the Guidance on Accounting Standard for Retirement Benefits (ASBJ Guidance No.25, May 17, 2012; hereafter "Guidance on Retirement Benefits") have been applied from this consolidated first quarter accounting period to the items referred to in the main clause of Paragraph 35 of the Accounting Standard for Retirement Benefits and the main clause of Paragraph 67 of the Guidance on Retirement Benefits, after reviewing the method for calculating retirement benefit liabilities and service costs. The method for attributing the expected amount of retirement benefits to periods has also been changed from straight-line basis to benefit formula basis.

In applying the Accounting Standard for Retirement Benefits, etc., the impact due to the change in the method for calculating retirement benefit liabilities and service costs have been included in retained earnings at the beginning of this consolidated cumulative third quarter in accordance with the transitional treatment specified in Paragraph 37 of the Accounting Standard for Retirement Benefits.

As a result, at the beginning of this consolidated cumulative third quarter, net defined benefit asset increased ¥815 million, net defined benefit liability decreased by ¥747 million, and retained earnings increased ¥1,006 million.

In addition, these changes have minor significance on operating income, ordinary income, and income before income taxes and minority interests during the consolidated cumulative third quarter.

(ii) Changes in accounting estimates

In the consolidated first quarter accounting period, Tokyo Stock Exchange, Inc., a consolidated subsidiary, conducted a review of the useful life of the fixed assets whose period of use became shorter due to the decision to launch new systems.

Due to this, operating income, ordinary income, and income before income taxes and minority interests during the consolidated cumulative third quarter decreased ¥92 million respectively in comparison with those calculated by the previous method.

3. CONSOLIDATED FINANCIAL STATEMENTS

(1) Consolidated Balance Sheets

(millions of yen)

	As of March 31,2014	As of December 31,2014
Assets		
Current assets		
Cash and deposits	103,813	86,864
Operating accounts receivable	8,995	12,567
Securities	802	770
Work in process	61	115
Margin funds for derivatives,etc. and when-issued transactions	913,437	1,432,923
Deposits for clearing funds	188,734	381,571
Deposits as collateral for facilitating settlement	10,500	17,500
Other	4,898	7,479
Allowance for doubtful accounts	(12)	(13)
Total current assets	1,231,231	1,939,778
Non-current assets		
Property, plant and equipment	7,066	8,663
Intangible assets		
Goodwill	63,932	61,350
Other	23,878	25,906
Total intangible assets	87,810	87,256
Investments and other assets		
Investment securities	37,344	44,614
Net defined benefit asset	2,914	4,011
Legal guarantee funds	522	492
Special assets for default compensation reserve funds	27,948	27,948
Other	9,013	7,604
Allowance for doubtful accounts	(138)	(141)
Total investments and other assets	77,605	84,529
Total non-current assets	172,482	180,449
Total assets	1,403,713	2,120,227

(millions of yen)

	As of March 31,2014	As of December 31,2014
Liabilities		
Current liabilities		
Operating accounts payable	2,994	2,392
Short-term loans payable	32,500	22,500
Income taxes payable	17,600	2,604
Provision for bonuses	1,420	510
Provision for directors' bonuses	366	22
Margin funds received for derivatives,etc. and when-issued transactions	913,437	1,432,923
Deposits received for clearing funds	188,734	381,571
Deposits received as collateral for facilitating settlement	10,500	17,500
Deposits received as trading participant security money	4,783	7,437
Other	5,937	7,290
Total current liabilities	1,178,274	1,874,753
Non-current liabilities		
Long-term loans payable	10,000	10,000
Net defined benefit liability	7,465	6,975
Returnable legal guarantee funds	522	492
Other	5,431	8,052
Total non-current liabilities	23,420	25,521
Total liabilities	1,201,694	1,900,274
Net assets		
Shareholders' equity		
Capital stock	11,500	11,500
Capital surplus	59,726	59,726
Retained earnings	117,264	130,081
Treasury shares	(5)	(5)
Total shareholders' equity	188,485	201,302
Accumulated other comprehensive income		
Valuation difference on available-for-sale securities	8,006	12,749
Remeasurements of defined benefit plans	(149)	(38)
Total accumulated other comprehensive income	7,857	12,710
Minority interests	5,675	5,939
Total net assets	202,018	219,953
Total liabilities and net assets	1,403,713	2,120,227

(2) Consolidated Statements of Income
and Consolidated Statements of Comprehensive Income
(Consolidated Statements of Income)

(millions of yen)

	Nine months ended December 31, 2013	Nine months ended December 31, 2014
Operating revenue		
Trading participant fees	41,448	36,134
Listing fees	9,098	9,205
Income from information services	11,962	12,000
Income from securities settlement	15,645	14,931
Other	10,948	6,577
Total operating revenue	89,102	78,849
Operating expenses		
Personnel expenses	11,117	11,133
System maintenance & operation costs	8,733	7,499
Depreciation	9,929	8,835
Other	19,195	15,004
Total operating expenses	48,975	42,472
Operating income	40,127	36,377
Non-operating income		
Interest income	215	85
Dividend income	1,059	1,075
Share of profit of entities accounted for using equity method	671	921
Other	94	173
Total non-operating income	2,041	2,256
Non-operating expenses		
Interest expenses	70	32
Other	16	21
Total non-operating expenses	86	53
Ordinary income	42,082	38,580
Extraordinary income		
Gain on sales of investment securities	-	46
Total extraordinary income	-	46
Extraordinary losses		
Impairment loss	956	-
Total extraordinary losses	956	-
Income before income taxes and minority interests	41,125	38,627
Income taxes	16,526	14,188
Income before minority interests	24,599	24,438
Minority interests in income	202	274
Net income	24,396	24,164

(Consolidated Statements of Comprehensive Income)

(millions of yen)

	Nine months ended December 31, 2013	Nine months ended December 31, 2014
Income before minority interests	24,599	24,438
Other comprehensive income		
Valuation difference on available-for-sale securities	106	4,742
Remeasurements of defined benefit plans, net of tax	-	110
Share of other comprehensive income of entities accounted for using equity method	0	(0)
Total other comprehensive income	106	4,853
Comprehensive income	24,706	29,291
Comprehensive income attributable to		
Comprehensive income attributable to owners of parent	24,503	29,017
Comprehensive income attributable to minority interests	202	274

(3) Notes on Consolidated Financial Statements

(Note on Going-concern Assumption)

Not applicable

(Material changes in shareholders' equity)

Not applicable

DISCLAIMER: This translation may be used for reference purposes only. This English version is not an official translation of the original Japanese document. In cases where any differences occur between the English version and the original Japanese version, the Japanese version shall prevail. This translation is subject to change without notice. Japan Exchange Group, Inc., and/or its affiliates shall individually or jointly accept no responsibility or liability for damage or loss caused by any error, inaccuracy, misunderstanding, or changes with regard to this translation.